

EQUITY RESEARCH REPORT

Tata Consultancy Services Limited

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Tata Consultancy Services Limited

Executive Summary

Target Price: ■1610.56

Valuation Summary

Method	Fair Value
DCF	■1859.93
Peter Lynch	■1361.20
Current Price	■2203.30

- Premium Valuation
- Growth Slowdown Risk
- Global IT Spending Risk

Market Cap: ■7.97 Trillion

PE Ratio: 16.186455

Beta: 0.227

EPS: 136.12

ROE: 48.40%

Dividend Yield: N/A

52 Week High: ■3489.9

52 Week Low: ■2110.0

Cash: ■41,080 Cr

Debt: ■11,283 Cr

Valuation Metrics

Peter Lynch Fair Value: ■1361.20

DCF Valuation

Free Cash Flow: ■37,060 Cr

DCF Fair Value: ■1859.93

Final Rating: SELL

Current Price: ■2203.30

DCF Fair Value: ■1859.93

Peter Lynch Fair Value: ■1361.20

DCF Upside / Downside: -15.58%

Peter Lynch Upside / Downside: -38.22%

Key Strengths

- Strong ROE
- Healthy Profit Margins
- Strong Balance Sheet
- Consistent Revenue Growth

Key Concerns

- Premium Valuation
- Growth Slowdown Risk
- Global IT Spending Risk

Current Price: ■2203.3

Price To Book: 7.433536

Enterprise Value: ■7.67 Trillion

Forward PE: 13.318553

Current Price: ■2203.3

DCF Upside / Downside: -15.58%

Recommendation Key: buy

Company Overview

Tata Consultancy Services Limited provides information technology (IT) and IT enabled services. It offers TCS ADD, a suite of AI powered life sciences platforms; TCS BaNCS, a financial services platform; TCS BFSI Platforms, a cloud-native, subscription-based as-a-service digital ecosystem for insure...

SWOT Analysis

Strengths

- Market leader in Indian IT
- High ROE and margins

Weaknesses

- Slower growth than mid-cap IT firms
- Premium valuation

Opportunities

- AI transformation demand
- Cloud migration growth

Threats

- Global recession
- Currency volatility

Investment Thesis

- Market leader in Indian IT Services
- Strong ROE and healthy profit margins
- Consistent revenue growth over time
- Strong cash position and manageable debt
- Attractive valuation relative to growth

Key Risks

- Slowdown in global IT spending
- US recession affecting client budgets
- AI disruption to traditional IT services
- Currency fluctuation risks
- Competition from Accenture, Infosys and Wipro

Peter Lynch Valuation

Upside / Downside: -38.22%

Estimated Fair Value: ■1361.20

Investment Recommendation

Rating: SELL

Analyst Consensus

Wall Street Consensus: BUY

Street Rating: BUY

Relative Valuation

TCS PE: 16.19

Peer Average PE: 15.75

Valuation Status: OVERVALUED

Peer Comparison

Company	Market Cap	PE	ROE
TCS	■7.97 T	16.19	48.40%
INFY	■4.56 T	14.83	31.44%
HCLTECH	■3.14 T	18.95	23.36%
WIPRO	■1.92 T	14.55	15.44%

Financial Health Scorecard

ROE: PASS

Profit Margin: PASS

Revenue Growth: PASS

Debt Position: PASS

Overall Score: 4/4

Trend Analysis

Revenue Growth (Multi-Year): 10.85%

Average Profit Margin: 18.83%

Overall Trend Rating: POSITIVE

Investment Scorecard

Financial Health Score: 4/4

Trend Analysis: POSITIVE

Peter Lynch Fair Value: ■1361.20

DCF Fair Value: ■1859.93

Overall Investment Score: 1/7

FINAL RATING: SELL

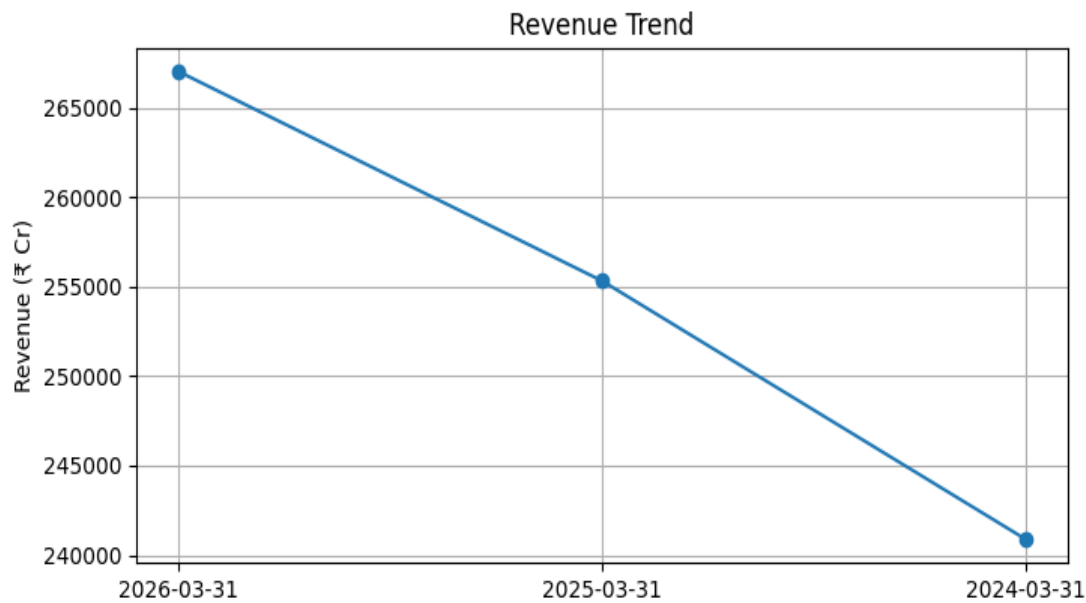
Financial Performance

Year	Revenue	Net Income	Profit Margin %	Revenue Growth %
2026-03-31	■267,021 Cr	■49,210 Cr	18.43	4.58
2025-03-31	■255,324 Cr	■48,553 Cr	19.02	5.99
2024-03-31	■240,893 Cr	■45,908 Cr	19.06	6.85

5 Year Stock Price Chart



Revenue Trend



Net Income Trend

